

The slowdown is also partially due to the absence of late-stage companies from the funding market. Most leading growth and late-stage start-ups have capitalised, some over-capitalised, during the high of 2021. They are now focussed on building businesses and do not want to go to a market where valuations are constantly questioned. They are also exploring M&A opportunities.

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THE CAPITAL STORY is resetting, and so is the talent side. People are finding safety in ongoing jobs, and potential founders are shelving their start-up plans for a better day because capital has shrunk and the talent war has reduced.

Vishal Gupta, Managing Director and Partner at Bessemer Venture Partners, says it is less expensive to build a company today than two years ago. “All corrections are great... a lot of businesses become successful post every correction because it is a great time for businesses as talent is better priced. Aggressive investors leaving the market doesn’t mean the opportunity does not exist. It means that you could invest at more reasonable prices, which is great for investors and founders. For founders, when you raise too much money at too high a valuation, the pressure is immense to be able to continue to perform and continue to grow the valuation; it is not easy. When the pace becomes higher, continuing to do that on a sustainable basis becomes harder and harder,” he says.

The lack of capital also discourages copycats and imitators, which is good for founders. A corrective cycle is the time when good companies get more customer attention because everyone’s marketing budgets are down, and customers don’t have as many distractions. It’s also an opportune time for start-ups to get genuine feedback, which helps them build genuine products.

Nexus’s Verma says investors with long-term views on India and committed teams on the ground would continue to get bigger and better as they would have built the muscle memory on how to address a slowdown and the investment professionals would get more mature.

Patil of QED Investors says the cycles will change and balance will favour good founders eventually. “As a founder, you need to find genuine merit in what you’re building; what you build should fill a value gap. Have a clear vision on how long it would take you to build this

solution and scale to a meaningful level. Define or build a hypothesis on what the end state looks like and think through the pathway. When you are thinking of a journey of five or 10 years, then the current capital situation is just a cycle that you are living through. Today, the balance is not in your favour, it’s in the favour of investors. Tomorrow the balance will shift again because ultimately it is a cycle,” he says.

The good news is that the capital pool targeting Indian start-ups is pretty solid. Unlike the previous cycles—the 2008 global recession or the e-commerce bust of 2015-16—Indian VC funds today have a substantial war chest at their disposal. As per data from Venture intelligence, investors have raised \$10.2 billion in the past two and a half years with \$4.7 billion coming in just the six months of 2022. It means good quality firms can actually become more accessible to some of the investors in this cycle simply because investors would have found it extremely hard last year to get allocation in good companies.

\$8.2 BILLION

TOTAL FUNDING RECEIVED BY INDIAN START-UPS DURING APRIL-JUNE 2022, A 46 PER CENT DROP FROM THE PEAK IT HIT IN Q3FY21

SOURCE PGA LABS

“At the end of the day, investors who have raised capital will also have to deploy. There may be a slowdown for one or two quarters as many companies have already raised capital, but things will change soon. There will be some degree of clarity in one or two quarters in terms of how the overall external environment and overall public market is going to behave. Based on that, investors will start investing very actively,” says Varun Gupta, Executive Director for Digital & Technology Investment Banking at Aventus Capital.

There is no ideal situation to financial cycles, and there is also no perfect balance when it comes to venture capital. A little bit of excess capital in the system is good because more start-ups get funded, which encourages more innovation. A shortage of capital is also good because it enforces more discipline. Therefore, what is really ideal is to go through both cycles.

There’s just one caveat: only the fittest survive. **BT**

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